

structural challenges such as low traffic density, high operating costs, and underutilised infrastructure. Building on these insights, UDAN 2.0 adopts a holistic, ecosystem-driven approach,” Sharma tells *BT*.

He explains that extended and enhanced VGF support from three to five years is designed to improve the viability of thinner routes, addressing the sustainability gap that emerges once initial subsidies taper off. Importantly, the inclusion of helipad development broadens connectivity to remote and geographically challenging regions, where traditional fixed-wing operations may not be feasible.

The UDAN 1.0 supported the growth of regional aviation players such as Sanjay Ghodawat-run Star Air and FLY91. However, the biggest beneficiary in terms of VGF was IndiGo, followed by Alliance Air.

Manoj Chacko, MD and CEO of another regional airline, FLY91, says the modified UDAN framework, with its more structured and sustained support mechanism, provides airlines greater stability to build regional connectivity.

“Continued support through VGF, along with investment in infrastructure such as new airports, strengthened aerodromes and improved last-mile connectivity, will be important in enabling routes to mature over time. These measures, combined with a broader focus on operational efficiency and ecosystem development, will help regional routes move towards long-term viability beyond the subsidy period. This integrated approach will be essential to the long-term success of regional connectivity initiatives,” says Chacko.

The modified scheme is ex-



“The modified UDAN framework provides greater stability for airlines to build and maintain regional connectivity”

MANOJ CHACKO
MD & CEO, FLY91



“The scheme creates a robust foundation for the next phase of aviation-led economic growth”

CAPTAIN
SIMRAN SINGH TIWANA
CEO, STAR AIR

pected to deepen connectivity in pockets that are still underserved, particularly in the North-East and northern hilly terrains, along with remote and aspirational districts in central and eastern India.

Additionally, the scheme is likely to enhance last-mile access in island and coastal regions, and expand helicopter and small aircraft connectivity in challenging terrains, thereby shifting the focus from broad regional coverage to more granular connectivity gaps.

LEARNINGS

UDAN 1.0 ensured connectivity in Tier II and Tier III cities with operators flying smaller aircraft having an average seating capacity of 70. IndiGo has been using turboprops while Star Air uses Embraer jets. However, operators stopped flying

to some destinations at the end of the subsidy period, while some destinations like Jalgaon, Agra, and Hindon are still attracting passengers. Since the inception of the scheme, 925 valid RCS routes have been awarded, out of which 663 have been operationalised, and 327 discontinued.

UDAN has demonstrated that regional India, many parts of which are connected to Tier II and Tier III regions, has real, untapped demand, with VGF playing a critical role in seeding these markets, says Chacko.

“As the scheme evolves, the focus needs to be on improving sustainability through better route selection, deployment of right-sized capacity and stronger network integration. At FLY91, we believe that regional aviation